Two things are essential for the algo code to run – 1) Live tick data feed and 2) API connection with the trading account.

Advantages of algo trading

Below are the advantages of algo trading:

- It helps to get rid of a significant portion of the emotions
- It brings discipline in the trading
- Traders can easily manage multiple orders in different accounts
- It provides high-speed trade execution
- It mentally prepares the trader to accept loss-making days with the historic drawdowns and backtesting.

Disadvantages of algo trading

Algo trading is not the 100% solution for all trading issues. It can only help traders to control their emotions to some extent.

Below are the disadvantages of algo trading:

- It doesn't help to remove 100% emotions in trading. For example, when the world market or SGX Nifty shows a significant gap up or gap down open, switching the system ON/OFF on the next trading day is still emotionally challenging
- It comes with a fixed cost. Many brokers charge some fixed amount every month to use their APIs. Besides, traders also need to pay the monthly fees of algo bridges, intraday data feed, cloud server to host the program, etc. All these costs reduce the overall profit
- It doesn't provide 100% freedom to traders. On many occasions, something will break (either the API bridge, or broker terminal, or data feed), and hence it requires monitoring during every trading day
- It demands coding knowledge to design, backtest, and implement a trading idea
- A rework and redesign are needed to your algo code whenever there is a change related to trading. It can be lot size change, margin change, or when you change the broker